

The Hidden Cost of Caste Identity in India's Labor Market

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Policy Brief

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Executive Summary

Caste identity is a powerful source of friction in India's labor market, causing workers to reject otherwise desirable jobs. The issue persists even when decisions are made in private, showcasing an internal identity concern that goes beyond social pressure. The experiment was conducted on 630 male in Odisha, and found that caste identity significantly reduces workers' willingness to accept jobs. These findings all points to a unique and unobserved source of talent misallocation in the Indian economy. Policymakers will need to address this problem by realizing the underlying cause of this issue, raising wages alone will not overcome identity barriers. Targeted interventions to reshape how workers perceive caste tied occupations are required.

What's at Stake?

India's caste system was designed to assign social status to a traditionally dictated role, yet despite significant modernization, these norms still hold significant influence on the types of job someone will choose. Indian workers today are three times more likely to work in their caste specified roles. This creates deep economic issues, output loss from misallocation of talent, labour shortages as certain sectors struggle to attract talented workers, reinforcement of inequality as low caste workers remain locked in low paying occupations while higher caste workers avoid roles beneath their status. As it stands right now, India's labor market is operating below it's potential, and until policymakers recognize that caste identity shapes labor decisions, it will persist.



Inside the Experiment

In 2018–2019, economist Suanna Oh conducted a field experiment across 141 villages in rural Odisha, India. The study was performed on 630 male casual laborers, each originating from seven different caste groups. The goal was to compare how the same workers would respond to different types of tasks. Some tasks have strong caste associations, like washing clothes, mending leather shoes, and sweeping latrines, while others are more general and have no caste associations. Each worker was offered a job which pays Rs 300 for five hours of work, every job involved a default task plus one additional task that varied across offers. The time required for the additional task varies from ten minutes all the way to two hours. To test the effects of social pressures, workers were grouped into private or public conditions. Finally, to ensure honest responses, each worker was presented with a list of job offers and had to indicate whether they would accept or decline each one. One offer would be randomly selected and the worker's stated choice for that offer was carried out. This gave workers a strong reason to respond honestly rather than exaggerate their preferences.

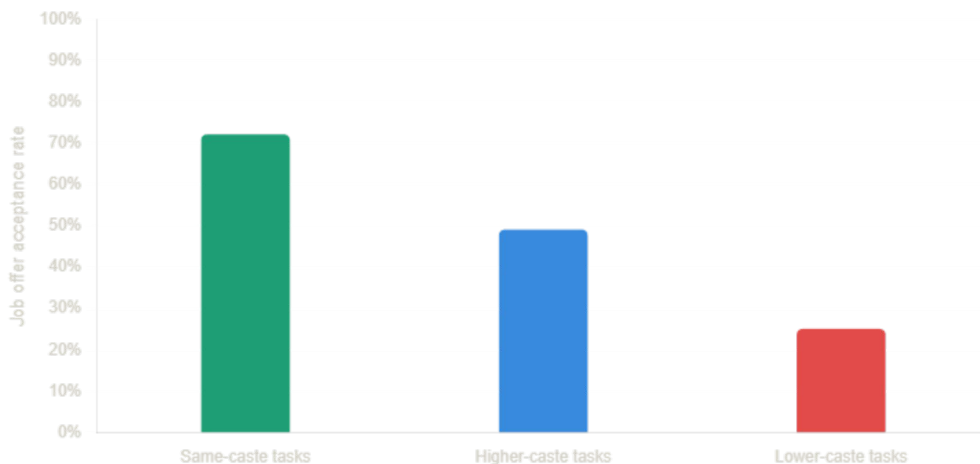
"43% of workers turned down a bonus worth nearly a month's wages to avoid just 10 minutes on a caste-inconsistent task"

What the Experiment Revealed

When workers were offered tasks linked to their own caste, acceptance rates were similar whether the task had a caste association or not, at around 72%, this serves as our baseline. When the task was tied to a different caste ranked higher in the social hierarchy, workers were 23 percentage points less likely to accept it, the gap widened by 24 percentage points when the task was linked to a lower-ranked caste. The results were similar between the private and public group, when confronted with why they refused, 50% of workers cited identity related reasons alone, while only 7% pointed to social pressure, confirming internal identity as the main motivation.

A supplementary experiment was conducted on 106 workers from Kaibarta and Pana castes, titled "Pricing Identity Violations". In this experiment, workers were offered bonuses up to 10 times the daily wage, which roughly amounts to nearly a month's income, to switch to caste-inconsistent tasks, given the incentive, 43% still refused. Of the workers that refused, 98% said they would refuse no matter how much money was offered.

■ Same-caste tasks ■ Higher-caste tasks ■ Lower-caste tasks



Source: Oh (2023), "Does Identity Affect Labor Supply?" — Table 2. Acceptance rates for identity tasks by relative caste status. Baseline acceptance for control tasks was approximately 72% across all groups.

- Workers were 23 pp less likely to accept tasks linked to higher ranked castes, and 47 pp less likely for lower ranked castes
- Effects held even when decisions were completely private
- Only 7% of refusals were motivated by social pressure alone — identity is the main driver

Beyond the Numbers

The implication here is that the majority of the workforce will refuse to perform certain tasks, this will result in an increase in labor cost for employers and trapping the economy in an inefficient equilibrium. Industries where their tasks have been associated with a caste will carry higher operating costs and reduced competitiveness. This caste driven job market will inevitably lead to wider inequality as low caste workers remain locked in low paying roles, locked in a perpetual wage gap and reinforcing the inequality India's existing policies aim to reduce.

Research on the United States found that improved allocation of talent led to an increase of 20–40% growth in output per person between 1960 and 2010. This is a direct loss of output because in India, where workers are three times more likely to remain in caste specified roles, means the economic gains from breaking these barriers could be significant.

What Should Policymakers Do?

Firstly, the paper has shown that the issue does not stem from wages, so raising wages will not work for this problem, The policy design will have to account for the fact that wage incentive will be ineffective against it. Secondly, this study has revealed that workers are blocking themselves, this isolates the issue to a mostly internal barrier, whereas current policies focus on external discrimination. A new approach will be needed to address the psychological dimension of the identity crisis.

Lastly, effort should be diverted toward rebranding of occupations from their caste labels, this has proven to be successful as it has already been implemented with the hairdressing and tailoring industry, where rebranding has led to attraction of wider talent pool.